COMPLIANCE REFERENCE DOCUMENT

Manufacturing Sector — Chemicals & Petrochemicals

Sector: Manufacturing Sector
Industry: Chemicals & Petrochemicals
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SECTION 1 — COMMON COMPLIANCE (ALL SECTORS & INDUSTRIES)

1. GST Registration

GST Act • Registration • One Time • CRITICAL

Register under GST if turnover exceeds threshold (₹40L goods / ₹20L services)

PENALTIES: Failure to register under GST | Fine: ₹10,000 or 10% of tax due, whichever is higher

2. GSTR-1 Filing (Outward Supplies)

GST Act • Filing • Monthly • HIGH

File monthly/quarterly return of outward supplies by 11th of next month

PENALTIES: Late filing of GSTR-1 | Fine: ₹50/day (₹25 for NIL return), max ₹10,000

3. GSTR-3B Summary Return

GST Act • Filing • Monthly • HIGH

File monthly summary return by 20th of next month

PENALTIES: Late filing of GSTR-3B | Fine: ₹50/day (₹25 for NIL return), max ₹10,000

4. GST Annual Return (GSTR-9)

GST Act • Filing • Yearly • MEDIUM

File annual return by 31st December of following FY

PENALTIES: Late filing of annual return | Fine: ₹100/day, max 0.25% of turnover

5. E-Way Bill Compliance

GST Act • Other • Event Based • MEDIUM

Generate E-Way bill for goods movement exceeding ₹50,000

PENALTIES: Movement of goods without E-Way bill | Fine: ₹10,000 or 200% of tax payable

6. Income Tax Return (ITR-6)

Income Tax Act • Filing • Yearly • HIGH

File corporate ITR by 31st October of AY

PENALTIES: Late filing of ITR | Fine: ₹5,000 (₹1,000 if income < ₹5L) | Jail: Prosecution for non-filing (Sec 276CC)

7. Advance Tax Payment

Income Tax Act • Payment • Quarterly • HIGH

Pay advance tax: 15% by Jun, 45% by Sep, 75% by Dec, 100% by Mar

PENALTIES: Non-payment or short payment of advance tax | Fine: 1% simple interest per month on unpaid amount

8. TDS on Salary (Sec 192)

Income Tax Act • Payment • Monthly • HIGH

Deduct TDS on salary and deposit by 7th of next month

PENALTIES: Late deposit of TDS | Fine: 1% interest per month on amount deducted | Jail: Prosecution possible (Sec 276B)

9. TDS on Contractor (Sec 194C)

Income Tax Act • Payment • Monthly • MEDIUM

Deduct TDS on contractor payments and deposit monthly

PENALTIES: Non-deduction or late deposit of TDS | Fine: 1% interest per month + penalty equal to TDS amount | Jail: Prosecution possible (Sec 276B)

10. TDS on Professional Fees (Sec 194J)

Income Tax Act • Payment • Monthly • MEDIUM

Deduct TDS on professional/technical fees

PENALTIES: Non-deduction or late deposit of TDS | Fine: 1% interest per month + penalty equal to TDS amount | Jail: Prosecution possible (Sec 276B)

11. TDS Quarterly Return (Form 24Q/26Q)

Income Tax Act • Filing • Quarterly • HIGH

File TDS returns quarterly by 31st of following month

PENALTIES: Late filing of TDS return | Fine: ¹200/day, max ¹30,000

12. EPF Registration

PF Act • Registration • One Time • HIGH

Register for EPF if 20+ employees

PENALTIES: Failure to register for EPF | Fine: Up to ¹5,000 | Jail: Imprisonment up to 3 years (Sec 14)

13. EPF Monthly Contribution

PF Act • Payment • Monthly • HIGH

Deposit 12% employer + employee contribution by 15th of next month

PENALTIES: Late deposit of EPF contribution | Fine: Up to ¹5,000 or imprisonment up to 3 years | Jail: Up to 3 years (Sec 14)

14. EPF Annual Return (Form 5A)

PF Act • Filing • Yearly • MEDIUM

File annual EPF return by 30th November

PENALTIES: Failure to file EPF annual return | Fine: Up to ¹5,000 | Jail: Imprisonment up to 1 year (Sec 14)

15. ESI Registration

ESI Act • Registration • One Time • HIGH

Register for ESI if 10+ employees with wages < ¹21,000/month

PENALTIES: Failure to register under ESI | Fine: Up to ¹5,000 | Jail: Imprisonment up to 2 years (Sec 85)

16. ESI Monthly Contribution

ESI Act • Payment • Monthly • HIGH

Deposit 3.25% employer + 0.75% employee contribution by 15th of next month

PENALTIES: Late deposit of ESI contribution | Fine: Simple interest at 12% per annum | Jail: Imprisonment up to 2 years (Sec 85)

17. Professional Tax

Professional Tax • Payment • Monthly • MEDIUM

Deduct and pay professional tax as per state slab

PENALTIES: Failure to deduct/pay professional tax | Fine: ¹1,000 to ¹5,000 + interest 1.25% per month

18. Shop & Establishment License

Shop & Establishment Act • Licence • Yearly • HIGH

Obtain/renew shop license under state Shops & Establishments Act

PENALTIES: Operating without valid shop license | Fine: ¹250 to ¹5,000 per day of violation

19. Annual Return (MGT-7)

Companies Act • Filing • Yearly • HIGH

File annual return within 60 days of AGM

PENALTIES: Late filing of annual return | Fine: ¹100/day, min ¹5,000, max ¹5,00,000

20. Financial Statements (AOC-4)

Companies Act • Filing • Yearly • HIGH

File financial statements within 30 days of AGM

PENALTIES: Late filing of financial statements | Fine: ¹100/day, min ¹10,000, max ¹10,00,000

21. Board Meetings (Min 4/year)

Companies Act • Other • Quarterly • MEDIUM

Hold minimum 4 board meetings per year (gap <120 days)

PENALTIES: Non-holding of minimum board meetings | Fine: ¹25,000 on company + ¹5,000 per director per default

22. POSH Compliance

Labour Laws • Registration • Yearly • HIGH

Constitute Internal Complaints Committee under Sexual Harassment Act

PENALTIES: Failure to constitute ICC or comply with POSH Act | Fine: ¹50,000 (first offence), ¹1,00,000 (subsequent)

23. Payment of Bonus

Labour Laws • Payment • Yearly • MEDIUM

Pay bonus between 8.33% to 20% of wages

PENALTIES: Non-payment or short payment of bonus | Fine: Up to ¹1,000 or imprisonment up to 6 months | Jail: Up to 6 months (Sec 28)

24. Gratuity Compliance

Labour Laws • Other • Event Based • MEDIUM

Pay gratuity after 5 years continuous service (Payment of Gratuity Act)

PENALTIES: Non-payment of gratuity | Fine: ¹20,000 to ¹50,000 | Jail: Imprisonment up to 2 years (Sec 9)

25. Pollution Board Consent (CTE/CTO)

Environment Act • Licence • Yearly • HIGH

Obtain Consent to Establish and Operate from SPCB

PENALTIES: Operating without consent from Pollution Board | Fine: ¹1,00,000 to ¹5,00,000 per day of violation | Jail: Imprisonment up to 5 years (Sec 26)

SECTION 2 — MANUFACTURING SECTOR SECTOR COMPLIANCE

26. Factory License

Factory Act • Licence • Yearly • CRITICAL

Obtain Factory License under Factories Act, 1948

PENALTIES: Operating without factory license | Fine: ¹10,000 to ¹5,00,000 | Jail: Imprisonment up to 2 years

27. Building Plan Approval

Factory Act • Other • One Time • HIGH

Get building plan approved by Chief Inspector of Factories

PENALTIES: Constructing without approved plan | Fine: ¹10,000 to ¹1,00,000

28. Safety Officer Appointment

Factory Act • Registration • Yearly • HIGH

Appoint Safety Officer if 500+ workers (Factories Act)

PENALTIES: Not appointing Safety Officer | Fine: ¹5,000 to ¹50,000

29. Annual Return to Inspector of Factories

Factory Act • Filing • Yearly • HIGH

File annual return to Inspector of Factories

PENALTIES: Failure to file annual return | Fine: ¹5,000 to ¹50,000

30. Accident Reporting

Factory Act • Other • Event Based • CRITICAL

Report accidents within 12 hours (fatal) / 24 hours (serious)

PENALTIES: Failure to report accident | Fine: ¹50,000 to ¹5,00,000 | Jail: Imprisonment up to 1 year

31. Air Pollution Control

Environment Act • Other • Yearly • HIGH

Comply with Air Act emission limits for stacks

PENALTIES: Exceeding air emission limits | Fine: ¹1,00,000 per day of violation | Jail: Up to 5 years

32. Water Pollution Control

Environment Act • Other • Yearly • HIGH

Comply with Water Act effluent discharge standards

PENALTIES: Discharging untreated effluent | Fine: ¹1,00,000 per day + closure order | Jail: Up to 5 years

33. Hazardous Waste Management

Environment Act • Other • Yearly • HIGH

Comply with Hazardous Waste Management Rules

PENALTIES: Non-compliance with HWM rules | Fine: ¹1,00,000 to ¹10,00,000 | Jail: Up to 5 years

34. Building Workers Welfare Cess

Labour Laws • Payment • Yearly • MEDIUM

Pay 1-2% cess on construction cost under BOCW Act

PENALTIES: Non-payment of BOCW cess | Fine: ¹5,000 to ¹25,000

35. Inter-State Migrant Workmen Act

Labour Laws • Other • Yearly • MEDIUM

Comply with Inter-State Migrant Workmen Act if applicable

PENALTIES: Non-compliance with migrant labour act | Fine: ¹1,000 to ¹10,000 per worker | Jail: Up to 3 months

36. Child Labour Prohibition

Labour Laws • Other • Yearly • CRITICAL

Strict compliance with Child Labour Prohibition Act

PENALTIES: Employing child labour | Fine: ¹20,000 to ¹50,000 | Jail: Imprisonment 6 months to 2 years

SECTION 3 — CHEMICALS & PETROCHEMICALS INDUSTRY COMPLIANCE

37. PESO License (Petroleum/Explosives)

Other • Licence • Yearly • CRITICAL

Obtain PESO license for petroleum/explosive handling

PENALTIES: Handling without PESO license | Fine: ¹10,00,000 to ¹50,00,000 | Jail: Imprisonment up to 7 years

38. MSIHC Rules Compliance

Environment Act • Other • Yearly • CRITICAL

Comply with Manufacture Storage & Import of Hazardous Chemical Rules

PENALTIES: Non-compliance with MSIHC rules | Fine: ¹10,00,000 to ¹1,00,00,000 | Jail: Up to 7 years

39. Environmental Impact Assessment

Environment Act • Other • One Time • HIGH

Obtain EIA clearance for red/orange category industries

PENALTIES: Operating without EIA clearance | Fine: ¹50,00,000 + closure order | Jail: Up to 5 years

40. Emergency Response Plan

Environment Act • Other • Yearly • HIGH

Prepare and maintain on-site emergency response plan

PENALTIES: No emergency response plan | Fine: ¹5,00,000 to ¹25,00,000 | Jail: Up to 3 years

PENALTY SUMMARY

#	COMPLIANCE ITEM	PENALTY	FINE
1	GST Registration	Failure to register under GST	¹10,000 or 10% of tax due, whichever is higher
2	GSTR-1 Filing (Outward Supplies)	Late filing of GSTR-1	¹50/day (¹25 for NIL return), max ¹10,000
3	GSTR-3B Summary Return	Late filing of GSTR-3B	¹50/day (¹25 for NIL return), max ¹10,000
4	GST Annual Return (GSTR-9)	Late filing of annual return	¹100/day, max 0.25% of turnover
5	E-Way Bill Compliance	Movement of goods without E-Way bill	¹10,000 or 200% of tax payable
6	Income Tax Return (ITR-6)	Late filing of ITR	¹5,000 (¹1,000 if income < ¹5L)
7	Advance Tax Payment	Non-payment or short payment of advance tax	1% simple interest per month on unpaid amount
8	TDS on Salary (Sec 192)	Late deposit of TDS	1% interest per month on amount deducted
9	TDS on Contractor (Sec 194C)	Non-deduction or late deposit of TDS	1% interest per month + penalty equal to TDS amount
10	TDS on Professional Fees (Sec 194J)	Non-deduction or late deposit of TDS	1% interest per month + penalty equal to TDS amount
11	TDS Quarterly Return (Form 24Q/26Q)	Late filing of TDS return	¹200/day, max ¹30,000
12	EPF Registration	Failure to register for EPF	Up to ¹5,000
13	EPF Monthly Contribution	Late deposit of EPF contribution	Up to ¹5,000 or imprisonment up to 3 years
14	EPF Annual Return (Form 5A)	Failure to file EPF annual return	Up to ¹5,000
15	ESI Registration	Failure to register under ESI	Up to ¹5,000
16	ESI Monthly Contribution	Late deposit of ESI contribution	Simple interest at 12% per annum
17	Professional Tax	Failure to deduct/pay professional tax	¹1,000 to ¹5,000 + interest 1.25% per month
18	Shop & Establishment License	Operating without valid shop license	¹250 to ¹5,000 per day of violation

19	Annual Return (MGT-7)	Late filing of annual return	₹100/day, min ₹5,000, max ₹5,00,000
20	Financial Statements (AOC-4)	Late filing of financial statements	₹100/day, min ₹10,000, max ₹10,00,000
21	Board Meetings (Min 4/year)	Non-holding of minimum board meetings	₹25,000 on company + ₹5,000 per director per default
22	POSH Compliance	Failure to constitute ICC or comply with POSH Act	₹50,000 (first offence), ₹1,00,000 (subsequent)
23	Payment of Bonus	Non-payment or short payment of bonus	Up to ₹1,000 or imprisonment up to 6 months
24	Gratuity Compliance	Non-payment of gratuity	₹20,000 to ₹50,000
25	Pollution Board Consent (CTE/CTO)	Operating without consent from Pollution Board	₹1,00,000 to ₹5,00,000 per day of violation
26	Factory License	Operating without factory license	₹10,000 to ₹5,00,000
27	Building Plan Approval	Constructing without approved plan	₹10,000 to ₹1,00,000
28	Safety Officer Appointment	Not appointing Safety Officer	₹5,000 to ₹50,000
29	Annual Return to Inspector of Factories	Failure to file annual return	₹5,000 to ₹50,000
30	Accident Reporting	Failure to report accident	₹50,000 to ₹5,00,000
31	Air Pollution Control	Exceeding air emission limits	₹1,00,000 per day of violation
32	Water Pollution Control	Discharging untreated effluent	₹1,00,000 per day + closure order
33	Hazardous Waste Management	Non-compliance with HWM rules	₹1,00,000 to ₹10,00,000
34	Building Workers Welfare Cess	Non-payment of BOCW cess	₹5,000 to ₹25,000
35	Inter-State Migrant Workmen Act	Non-compliance with migrant labour act	₹1,000 to ₹10,000 per worker
36	Child Labour Prohibition	Employing child labour	₹20,000 to ₹50,000
37	PESO License (Petroleum/Explosives)	Handling without PESO license	₹10,00,000 to ₹50,00,000
38	MSIHC Rules Compliance	Non-compliance with MSIHC rules	₹10,00,000 to ₹1,00,00,000
39	Environmental Impact Assessment	Operating without EIA clearance	₹50,00,000 + closure order
40	Emergency Response Plan	No emergency response plan	₹5,00,000 to ₹25,00,000

DUE DATE CALENDAR GUIDE

FREQUENCY		
Monthly	By 15th of every month	GSTR-3B, PF Payment, ESI Payment
Quarterly	By 15th of month following quarter end	GSTR-1 (QRMP), PF Return
Half-Yearly	Within 6 months of period end	POSH Annual Report
Yearly	Within 3 months of FY end (by June 30)	IT Return, Annual Return, Audit
One-Time	Within 1 year of applicability	GST Registration, PF Registration
Event-Based	As per event timeline	GST Revocation, Change in Details